

F.A. (Advanced) 4th Semester

Roll No: 4023

Past Paper: 2022

Q. No. 1 Solution:

Dodge, Inc.
Bank Reconciliation Statement
As on 30th November, —.

Balance as per bank statement
Add: Deposit in transit

4710

3850

8560

Deduct: Outstanding checks

no. 814

115

no. 816

170

no. 830

530

(815)

Adjusted cash balance

7745

Balance as per cash book

6750

Add: Note receivable collected by bank

4000

10,750

Deduct:

Service charges

15

NSF check

2900

Check recording error (no. 810)

90

(3005)

Adjusted cash balance (as above)

7745

Q.No. 2 Solution:

Mystic Masters, Inc.
Income Statement
For the Year Ended Dec. 31st, 2011

Particulars

Revenue:

Client Revenue Earned

Amount \$ Amount \$

52000

Less: Expenses:

Insurance expense

Office rent expense

Supplies expense

Salary expense

Depreciation expense: furniture

Office and telephone expense

Internet service expense

Legal expense

Interest expense

Miscellaneous expense

Net loss

6000

9000

440

48000

1400

3000

4900

1,500

4,000

5,000

(83,240)

(31,240)

Statement of Retained Earnings

Retained earnings, January 1, 2011

Less: Net loss

Retained earnings, December 31, 2011

2,600

(31,240)

(28,640)

Mystic Masters, Inc.
Sheet

Mystic Mass
Balance Sheet

Balance Sheet
December, 31 2011

Assets		Liabilities	
	Amount \$		Amount \$
Cash	960	A/P	6,540
A/R	300	N/P	24,000
Unexpired Insurance	2,000	S/P	1,700
Prepaid Rent	1,500	I/P	360
Supplies	200	Unearned Revenue	200
Furniture	8,400		
Acc. Dep. (5,200)	3,200	Capital stock	4,000
		R.E (deficit)	(28,640)
	<u>8,160</u>		<u>8,160</u>